measure. The second column represents the Graham cheap-stock strategy using only EBIT/TEV as the sorting variable. The third column is the stand-alone quality measure. The fourth column is the S&P 500 total return index. Each active strategy ranks stocks on the respective metric every June 30th and rebalances annually. The results reported represent the performance of the top decile of stocks for a given measure.

The performance for the Buffett formula (average of cheapness and quality) is admirable over the time period analyzed. Annual growth rates are almost 3.5 percent higher per year than the S&P 500 benchmark, and the Sharpe and Sortino risk-reward calculations are also stronger. But the Graham strategy (cheapness) outperforms on nearly every metric. The Graham strategy beats the market by over 5 percent a year, on average, and risk-reward metrics are much stronger than both the benchmark and the Buffett strategy. The evidence supports the argument that the original Graham value-investment philosophy is superior to the updated Buffet value-investment philosophy.

How is it possible that Graham beats Buffett? The answer lies in the quality component of the Buffett philosophy. If we examine the quality strategy's stand-alone performance we notice that the results are slightly weaker than the benchmark, suggesting that any strategy that, based on a quality metric, moves out of cheap stocks, and into expensive stocks, will correspondingly dilute overall performance. We see this borne out in the Buffett results, which represent a mix of a quality component and a low-price component. As we summarize in *Quantitative Value,* “[an equally weighted combination of quality and price algorithm] systematically overpays for quality. It is structurally flawed, leading us to fish in the wrong pond.” The lesson from the evidence is that Graham was correct, on average. And yet, the story of “value investing” has slowly evolved away from strictly buying cheap stocks to buying stocks across the price spectrum based on quality attributes that are not useful if a stock is not cheap. This is effectively the idea behind “growth at a reasonable price” investing. Unfortunately, this revamped value-investing story is not backed by robust empirical evidence. Warren Buffett is merely an anecdote associated with a great story, but the tale told by Graham (buy cheap stocks) is backed by evidence and therefore should maintain its status as the “golden rule of value investing.”